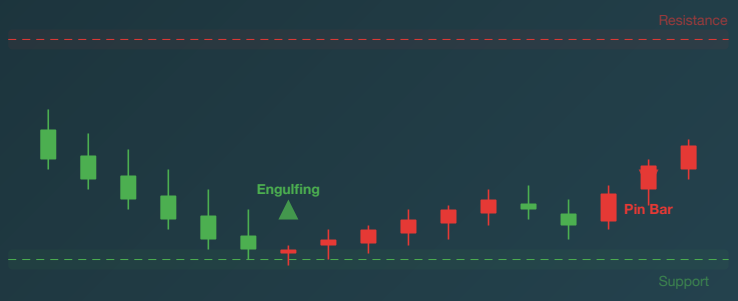
NIFTY OPTIONS

Price Action Strategy

PRICE_ACTION_5M — Pure Price Action Trading on 5-Minute Candles



Version 1.0 • 5-Min Timeframe • S/R + Patterns + RSI

Engulfing • Pin Bar • Inside Bar Breakout • Break of Structure • Swing Trail SL

1. Strategy Overview

The **PRICE_ACTION_5M** strategy is a **5-minute** timeframe system designed for **NIFTY index options** (CE/PE). Unlike indicator-heavy approaches, it reads **what price itself is doing** — identifying candlestick patterns at key Support/Resistance levels, confirmed by RSI momentum.

5 min	S/R	Patterns	Swing
Candle Timeframe	Support & Resistance	Engulf / Pin / IB / BOS	Trailing SL Method

Core Principle

Price action trading focuses on **price structure** rather than lagging indicators. The strategy identifies 5 pattern types, but only takes trades when the pattern occurs at a **meaningful S/R level** (swing high/low). RSI acts as a lightweight confirmation filter — not the primary signal.

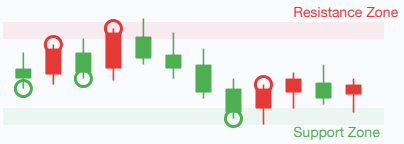
Why Price Action on 5-Min?

- **More opportunities** than 15-min (3x candles per day)
- **Cleaner patterns** than 3-min (less noise, fewer false signals)
- **Reasonable SL** from signal candle wick (typically 10-20 pts)
- **No lag** — reacts to what price is doing NOW, not what indicators say it was doing

2. Support & Resistance Detection

S/R levels are derived dynamically from **swing highs and swing lows** in the last 30 candles. A swing high is a candle whose high is greater than both neighbors. A swing low is a candle whose low is less than both neighbors.

Swing Points → Support & Resistance Zones



Red circles = swing highs (resistance). Green circles = swing lows (support). Shaded = S/R zone (±15 pts).

Parameter	Setting Key	Default	Description
Lookback	PA_SR_LOOKBACK	30	Candles to scan for swing points
Zone Width	PA_SR_ZONE_PTS	15 pts	Price must be within this distance of S/R level

3. Entry Patterns

Five patterns are detected, each requiring **S/R confluence** and **RSI confirmation**. Patterns are checked in priority order.

Pattern 1: Bullish Engulfing at Support

BUY CE — Bullish Engulfing

1. Previous candle is RED (bearish)
2. Current candle is GREEN and its body fully engulfs the previous candle's body
3. Current candle's**low is within 15 pts of a swing low**(support zone)
4. RSI > 45 (not deeply oversold — momentum supports move up)
5. Candle body ≥ 5 pts (filters out dojis)

SL: Signal candle low | **Strength:** STRONG (immediate entry)

Bullish Engulfing at Support — BUY CE

Pattern 2: Bearish Engulfing at Resistance

BUY PE — Bearish Engulfing

1. Previous candle is GREEN (bullish)
2. Current candle is RED and its body fully engulfs the previous candle's body
3. Current candle's**high is within 15 pts of a swing high**(resistance zone)
4. RSI < 55 (not overbought — momentum supports move down)
5. Candle body ≥ 5 pts

SL: Signal candle high | **Strength:** STRONG

Bearish Engulfing at Resistance — BUY PE

SL
BUY PE

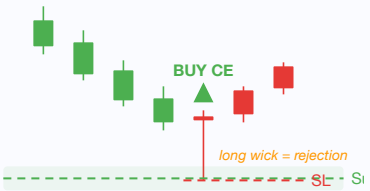
Pattern 3: Hammer (Pin Bar) at Support

BUY CE — Hammer

1. Lower wick ≥ 2× the body size (long rejection wick)
2. Upper wick ≤ 0.5× the body size (small upper shadow)
3. Candle low within **support zone** (15 pts of swing low)
4. RSI > 45 | Body ≥ 2 pts minimum

SL: Pin bar low | **Strength:** MARGINAL (wait for close confirmation)

Hammer at Support — Long Wick Rejection



Pattern 4: Shooting Star (Bearish Pin Bar) at Resistance

BUY PE — Shooting Star

1. Upper wick ≥ 2× the body size (long rejection wick upward)
2. Lower wick ≤ 0.5× the body size
3. Candle high within **resistance zone**
4. RSI < 55 | Body ≥ 2 pts minimum

SL: Pin bar high | **Strength:** MARGINAL

Pattern 5: Inside Bar Breakout

An **inside bar** is a candle whose entire range fits within the previous candle's range (the "mother candle"). It signals consolidation. Entry triggers when **the next candle breaks out** of the mother candle's range.

CE Breakout

1. Breakout candle closes ABOVE mother high
2. RSI > 45

SL: Mother candle low

PE Breakout

1. Breakout candle closes BELOW mother low
2. RSI < 55

SL: Mother candle high

Inside Bar Breakout — Consolidation → Expansion

Orange lines = mother candle range. Inside bar fits within. Breakout candle triggers entry.

Note: Inside Bar does NOT require S/R confluence (breakouts work anywhere). If no breakout occurs within 3 candles, the pending signal is cancelled.

Pattern 6: Break of Structure (BOS)

A BOS occurs when price **closes beyond the most recent swing high or swing low**, indicating a shift in market structure. This is the strongest signal type.

Bullish BOS

1. Candle closes ABOVE last swing high
2. Candle opened AT or BELOW that swing high
3. RSI > 45 + body ≥ 5 pts

SL: Recent swing low

Bearish BOS

1. Candle closes BELOW last swing low
2. Candle opened AT or ABOVE that swing low
3. RSI < 55 + body ≥ 5 pts

SL: Recent swing high

Bullish Break of Structure (BOS)

4. Stop Loss Rules

Every entry has an **initial SL** derived from the signal candle, then clamped within safe limits:

Pattern	CE Stop Loss	PE Stop Loss
Bullish Engulfing	Signal candle LOW	—
Bearish Engulfing	—	Signal candle HIGH
Hammer	Pin bar LOW (wick tip)	—
Shooting Star	—	Pin bar HIGH (wick tip)
Inside Bar	Mother candle LOW	Mother candle HIGH
BOS (Bullish)	min(current low, prev low)	—
BOS (Bearish)	—	max(current high, prev high)

8 pts
Min SL Floor (PA_MIN_SL_PTS)

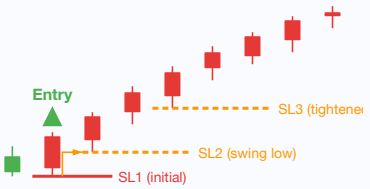
25 pts
Max SL Cap (PA_MAX_SL_PTS)

Clamping rule: `SL distance = max(min(raw_distance, 25), 8)`. Too-tight SL on tiny candles is floored to 8 pts. Too-wide SL on volatile candles is capped at 25 pts.

5. Trailing Stop Loss (Swing-Based)

After entry, the SL is **trailed using swing structure** — moving the SL to the most recent swing low (for CE) or swing high (for PE). The trailing SL only tightens, never widens.

Swing-Based Trailing SL — CE Example (SL moves up with each new swing low)



SL1 = initial (signal candle). SL2 = first swing low above SL1. SL3 = next swing low (tighter). SL only moves UP for CE, never down.

Trailing Rules

- **CE (Long):** Trail to latest swing low — must be ABOVE current SL AND below current price
- **PE (Short):** Trail to latest swing high — must be BELOW current SL AND above current price
- **Key:** Only tightens. If new swing point would widen SL, it's ignored.

6. Exit Logic (Priority Order)

P	Exit Condition	Description	Applies To
1	**SL Hit**	Price touches stop loss (initial or trailed)	Every tick
2	**Trailing Profit %**	If peak PnL ≥ £350, exit when profit drops below X% of peak. Tiered: 55% at £500, 60% at £1000, 70% at £3000, 80% at £5000, 90% at £10000	Every tick
3	**Swing Trail SL Update**	Tighten SL to latest swing low/high on each candle close	Candle close
4	**EOD Square-Off**	Force exit at 3:20 PM IST (no overnight positions)	Time check

7. RSI as Confluence Filter

RSI is used as a **lightweight confirmation**, NOT the primary signal. It ensures momentum doesn't contradict the pattern.

CE Entry (Bullish)

RSI must be > **45**. This means momentum isn't deeply bearish. It's permissive — RSI 46 is fine for a CE entry because the pattern itself is the signal.

Default: PA_RSI_CE_MIN = 45

PE Entry (Bearish)

RSI must be < **55**. Momentum isn't deeply bullish. Same principle — the pattern leads, RSI confirms.

Default: PA_RSI_PE_MAX = 55

8. Signal Flow (Decision Tree)

1. New 5-min candle closes
2. Check trading window (9:20 AM – 2:30 PM IST)
3. Check daily limits (max trades, max loss, SL pause)
4. Check VIX filter (if enabled)
5. Calculate RSI(14) + find swing highs/lows (last 30 candles)
6. Check pending **Inside Bar breakout** (if queued from prior candle)
7. Detect new **Inside Bar** → queue for next candle
8. Check **Bullish Engulfing** at support → check **Bearish Engulfing** at resistance
9. Check **Hammer** at support → check **Shooting Star** at resistance
10. Check **Break of Structure** (bullish/bearish)
11. If signal found → calculate SL (clamp 8–25 pts) → queue entry for NEXT candle open

9. Full Configuration Reference

Setting Key	Default	Description
PA_MODE_ENABLED	true	Show/hide Price Action menus
PA_RESOLUTION	5	Candle timeframe (minutes)
PA_ENTRY_START	09:20	Earliest entry time (IST)
PA_ENTRY_END	14:30	Latest entry time (IST)
PA_RSI_PERIOD	14	RSI calculation period
PA_RSI_CE_MIN	45	Min RSI for CE entries
PA_RSI_PE_MAX	55	Max RSI for PE entries
PA_MIN_BODY	5	Min candle body (pts) for engulfing/BOS
PA_PIN_WICK_RATIO	2	Wick-to-body ratio for pin bars
PA_SR_LOOKBACK	30	Candles to scan for swing points

PA_SR_ZONE_PTS	15	S/R zone tolerance (pts)
PA_MAX_SL_PTS	25	Max SL distance cap
PA_MIN_SL_PTS	8	Min SL distance floor
PA_MAX_DAILY_TRADES	30	Max entries per day
PA_MAX_DAILY_LOSS	2000	Daily loss kill-switch (£)
PA_SL_PAUSE_CANDLES	2	Candles to pause after SL hit
PA_TRAIL_START	350	Activate trailing after this profit (£)
PA_TRAIL_PCT	65	Base trail % of peak profit
PA_TRAIL_TIERS	500:55,1000:60,...	Tiered trail percentages
PA_VIX_ENABLED	false	VIX filter for PA entries

10. Price Action vs Other Strategies

Aspect	Strategy 1 (SAR+EMA+RSI)	Scalp (BB+RSI+PSAR)	Price Action
Timeframe	15-min	5-min	5-min
Entry Signal	EMA9 touch + SAR + RSI	BB breakout + RSI	Candle patterns at S/R
Primary SL	SAR value	Previous candle	Signal candle wick
Trailing SL	SAR dots (tiered)	PSAR (tighten only)	Swing lows/highs
Lag	Medium (EMA + SAR)	Low (BB + RSI)	**None** (reads price directly)
Works in Range	No (ADX filter)	No (BB squeeze filter)	**Yes** (inside bar breakouts)
Best Condition	Clean trends	Volatile breakouts	**All conditions**

11. Practical Tips

Start with Backtest

Run **/pa-backtest** on the last 3-6 months first. Check win rate, drawdown, and which patterns perform best. Tune S/R zone width based on results.

Paper Trade First

Use **/pa-paper** for at least 2 weeks of live simulation. Watch how patterns fire in real-time. Note which setups you'd trust and which feel forced.

S/R Zone Tuning

If too few signals: increase **PA_SR_ZONE_PTS** (20-25). If too many false signals: decrease to 10. The zone width is the most impactful parameter.

Pattern Quality

Engulfing at S/R = highest conviction. **BOS** = strongest trend signal. **Pin bars** = marginal (need strong wick). **Inside bar** = works best in volatility compression.

12. Risk Management Summary

8-25	30	£2000	2+
SL Range (pts)	Max Trades/Day	Daily Loss Limit	Pause After SL (candles)

Key insight: Price action trading is about reading *what the market is telling you* through its candle structure, not about calculating indicator values. The best price action setups have a clear story: "price hit support, formed a rejection candle, and buyers stepped in." If you can't explain the story in one sentence, the setup might not be clean enough.